STHIROS
Strategy. Risk. Cyber. AI.

Tracing Rs. 4.45 Crore in fund diversion behind a defaulted loan account

A leading scheduled commercial bank engaged Sthiros for a forensic audit of a borrower classified as a Red Flagged Account, to identify fund diversion and validate stock and debtor statements.



Client	Product Deployed	Sector	Geography
A Leading Scheduled Commercial Bank	**Forensic Audit of a Borrower Account, Fund Diversion & Misreporting Investigation**	**Banking & Financial Services**	**India**

The Challenge:

When the borrower under investigation won't cooperate

Following a loan default and RFA classification, this bank needed to identify fund diversion patterns, validate stock and debtor statements, and assess borrower conduct, all while the borrower itself restricted access to books of accounts and supporting documents.

Non-Cooperative Borrower

The borrower was unavailable during the site visit and gave no response to calls, emails, or follow-ups, restricting access to books of accounts.

Data Limitations

No stock statements had been submitted since March 2023, with debtor statements incomplete and delayed, undermining verification.

High Risk of Financial Misreporting

Stock and receivables were suspected of inflation, with potential manipulation aimed at maintaining drawing power.

The Solution:

A structured forensic audit, built around what evidence remained

Sthiros ran a structured forensic audit tracing fund flow, validating stock and debtor data against underlying records, and conducting a field investigation to test whether the borrower's operations existed as reported.

Every instance of non-cooperation, data gap, and deviation was documented, building an evidence base the bank could act on despite severe data limitations.

The Methodology

1

Fund Flow & Transaction Analysis

Bank statements reviewed to trace fund movement, identifying related-party transactions and unusual patterns.

2

Stock & Inventory Validation

Historical stock statements analysed for consistency, ageing, and movement trends submitted to the bank.

3

Debtors Verification

Debtor ageing, customer listings, and reported balances examined and cross-verified for inconsistencies across multiple periods.

4

Field Investigation

An on-site visit conducted to validate operational existence and assess linkage between the borrower and related entities.

5

Exception Documentation

Non-cooperation, data gaps, and deviations recorded to build an evidence base for the bank's further action.

What This Means

Same-day transfers are the tell.

Stock figures that never move are fake.

Non-cooperation is evidence too.

Outcomes

Rs. 4.45 Cr

Fund diversion identified

Transferred (net) to related parties operating from the same business address.

Rs. 3.90 Cr

Same-day transfers flagged

Moved to related parties the same day as cash deposits, out of Rs. 4.43 Cr received.

55 to 937

Debtor count spike

Customers listed jumping within six months, a key red flag in receivables manipulation.

Rs. 9 L

Stock variance over 2+ years

Minimal movement in closing stock figures, indicating likely fabrication to sustain drawing power.

Get in touch

Is your red-flagged account evidence-backed, or just suspected?

Speak to Sthiros about what a structured forensic audit can unlock for your credit risk and recovery strategy.

Connect with Us:
sthiros.com

STHIROS
Strategy. Risk. Cyber. AI.